



The Dutch East India Company ran its own shipyards, the largest being in Amsterdam, shown here. Very powerful in the 17th century, the company went bankrupt and was dissolved in 1800.

As the 17th century progressed, the Republic really began to prosper. Various factors came together to make this small region successful. Most importantly, the nation had a strong tradition of seafaring, giving it a huge advantage over many other countries. In addition, its citizens had a strong work ethic—largely due to the Protestant belief that worldly work was a duty and a route to salvation—so productivity was high. There was also a growing population (especially of the urban middle classes) and an expanding major city—Amsterdam—which proved an ideal center for trade. All of these contributing factors resulted in the Dutch economy moving increasingly toward shipping, trading, and finance.

Exploration and trade

As a coastal nation, the Dutch Republic produced notable sailors and explorers, so long-distance trading was a natural consequence of the country's maritime history. In addition, advancements in ship-building technology in the Republic enabled the Dutch merchant fleet to expand rapidly; by 1670, the Dutch had more merchant ships than the rest of Europe put together.

The expanding merchant class saw large potential profits in the spice trade with Asia and, as in other maritime cultures such as Spain and Portugal, navigators sought new sea routes to the east. The Dutch traveled all over the globe and set up colonies, including one in North America: New Amsterdam, which they officially settled in 1624 and was renamed New York when the British took over. In 1596, the Dutch explorer Willem Barentsz tried to find a northern passage to Asia and in the process discovered Svalbard (Spitsbergen), which later became a destination for Dutch whalers.

Most importantly for their prosperity, from 1595 the Dutch began to make regular journeys to Southeast Asia to trade in spices, particularly pepper, nutmeg, cloves, and cinnamon. They established colonies in the region and founded the city of Batavia, later renamed Jakarta. With this permanent base, the Dutch had the ability to trade long-term, producing a massive boost to their economy.

A need for investment

While the wealth generated by exploration and trade was injected back into the Dutch »

Agricultural revolution

The expanding population of the Dutch Republic in the 17th century encouraged farmers to make agriculture much more productive. In large part, this was achieved through continued land reclamation—a process that was already well underway by the late

Middle Ages. The Dutch also changed the way they used their land. Instead of growing grain one year and letting the land lie fallow the next, farmers began planting certain nitrogen-producing crops (such as peas, turnips, and clover, which they could use as animal feed), in order to improve the soil ready for the next corn crop. Growing more fodder meant that farmers could keep larger

herds, thereby increasing production of meat and milk as well as manure, which could be used as fertilizer. This greater productivity helped sustain a growing population, although some wheat still had to be imported to make up the shortfall. It also freed up larger segments of the population to work in trade or finance rather than agriculture.